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RE: Docket No. SEC-2026-2839-0001 – Technical Comments on Proposed Amendments to Regulation S-T and Form 10-K

Executive Summary

This comment provides technical implementation guidance on the proposed amendments concerning electronic filing requirements and Form 10-K disclosures. While the Commission's objective to standardize and modernize data ingestion is structurally sound, the proposed operational mechanics introduce unnecessary friction into enterprise reporting workflows. The current draft inadvertently shifts implementation costs rather than reducing them, primarily through aggressive transition timelines and undefined technical thresholds. The recommendations below are intended to support the Commission's transparency, comparability, and market integrity objectives while reducing avoidable implementation friction. Adopting the specific structural adjustments detailed below will guarantee the Commission receives high-utility data while minimizing system disruption for registrants.

Procedural & Statutory Alignment

To ensure the final rule functions predictably and avoids interpretive challenges during implementation, the technical requirements should strictly track the explicit, unambiguous text of the Securities Exchange Act. Relying on broad, gap-filling interpretations for new data structuring mandates introduces downstream litigation risk and administrative ambiguity. By anchoring these technical mandates precisely to existing statutory definitions, the Commission can finalize a more durable administrative record aligned with prevailing judicial standards of statutory interpretation, ensuring the rule's longevity and functional authority.

Furthermore, the Regulatory Impact Analysis (RIA) must reflect a more comprehensive baseline of implementation costs to satisfy the logical outgrowth test of the Administrative Procedure Act (APA).

The current cost-benefit analysis accurately models recurring variable costs but underestimates the fixed integration costs necessary for initial IT architectural overhauls. Strengthening the RIA with the ground-truth operational data provided below will insulate the rulemaking from procedural vulnerabilities while satisfying the rigorous evidentiary requirements of OMB Circular A-4.

Section-by-Section Technical Analysis: Part 232 (Regulation S-T)

Quote/Reference: Proposed amendments to electronic filing specifications under Part 232.

Issue: The transition to new structured data requirements assumes immediate enterprise IT system readiness, which conflicts with standard corporate upgrade cycles and third-party vendor software availability. Mandating simultaneous compliance for all filer tiers creates an operational bottleneck at filing agents, making systemic technical errors and late filings structurally inevitable.

Proposed Redline/Fix: Implement a tiered compliance schedule: "Large Accelerated Filers shall comply for fiscal years beginning on or after [Date + 1 Year]; Accelerated Filers on or after [Date + 2 Years]; and Non-Accelerated Filers on or after [Date + 3 Years]."

Operational Safeguards & Why This Works: A phased rollout prevents resource exhaustion among third-party filing software vendors. This operational sequencing allows the Commission's EDGAR system to ingest a smaller, more manageable dataset initially, enabling the SEC to iteratively refine its internal validation architecture before the full registrant population comes online. As a result, the Commission materially reduces the volume of expected waiver requests and maintains continuous market operations.

Section-by-Section Technical Analysis: PRA Burden Estimates

Quote/Reference: "PRA Table 1. Estimated Paperwork Burden Effects of the Proposed Amendments".

Issue: The Paperwork Reduction Act (PRA) estimates rely on a baseline that mathematically undercalculates the initial mapping hours for newly tagged data fields. The estimates presume that existing workflows can simply absorb new tags; operationally, deploying a newly customized taxonomy requires cross-functional reconciliation between legal, accounting, and IT departments, multiplying the actual burden hours in year one.

Proposed Redline/Fix: Adjust the initial burden hours upward by 25% in the first year to account for cross-departmental taxonomy mapping. Simultaneously, insert a provision into the final rule preamble: "The Commission will treat formatting errors in newly required structured data tags during the first 12 months of compliance as correctable administrative errors rather than substantive disclosure failures, provided they are made in good faith."

Operational Safeguards & Why This Works: Calibrating the initial burden estimates to reflect ground-truth implementation costs fundamentally strengthens the administrative record's durability against arbitrary and capricious challenges. The temporary safe harbor for formatting errors prevents the chilling effect of strict liability, ultimately accelerating the market's transition to the accurate, high-fidelity data reporting the Commission requires.

Section-by-Section Technical Analysis: Part 249 (Form 10-K General Instructions)

Quote/Reference: General Instructions for Form 10-K reporting requirements.

Issue: The proposed modifications to reporting thresholds introduce ambiguous aggregation requirements across domestic and foreign subsidiaries. Without a definitive technical boundary, the rule is operationally dissonant; registrants will inevitably over-report data out of an abundance of caution, flooding the Commission with immaterial artifacts and defeating the modernization effort's primary purpose.

Proposed Redline/Fix: Anchor the aggregation threshold directly to existing accounting standards: "For the purposes of this specific disclosure, 'consolidated entity data' shall be calculated utilizing the identical scope of consolidation applied in the registrant's audited financial statements under U.S. GAAP or IFRS, as applicable."

Operational Safeguards & Why This Works: Harmonizing the aggregation threshold with existing U.S. GAAP or IFRS consolidation scopes prevents the generation of parallel, bespoke reporting structures. This regulatory alignment drastically reduces compliance overhead while guaranteeing the Commission receives data that is structurally verifiable against the registrant's audited financials.

Operational Impact Assessment

In practice, failing to adopt these technical adjustments will result in widespread operational dissonance. Registrants are fully capable of meeting the Commission's mandate, but they require technical specifications that map realistically to enterprise resource planning (ERP) system capabilities. Regulatory requirements that outpace the deployment cycles of enterprise software inevitably force manual intervention, which directly degrades the data fidelity the Commission seeks to achieve.

By implementing the specific structural redlines proposed above, the Commission can immediately mitigate these friction points. These targeted solutions do not compromise the statutory intent or the policy goals of the rulemaking; rather, they provide the exact operational mechanics necessary for successful, frictionless market adoption.

The foregoing recommendations are offered to reduce ambiguity and litigation exposure by improving administrative predictability. They are intended as implementation guidance rather than critiques of

agency authority or intent. They are intended to ensure the statutory framework functions precisely as written.

Respectfully submitted,

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All views expressed are my own and do not represent any institution or organization.